Her Wealth Wave

The Covid lockdown proved to be an inflection point. Flexible work-from-home arrangements gave many middle-income women the time to learn about investing, leading to a surge in women-held demat accounts. Initially dismissed as a passing trend and later viewed with cautious optimism, the steady rise in participation convinced experts such as Priti Rathi Gupta of the women's-only app LXME and Maheshwari that the trend was here to stay. "The second generation of educated women had been ready to invest for some time, but lacked understanding and confidence. Improved access empowered them to participate as informed investors," says Maheshwari.

Responding to the demand, financial products began to be tailored to the needs of women investors. Historically, trading systems had been technical, time-consuming and often intimidating for first-time investors. The introduction of low-friction onboarding through UPI and e-KYC eliminated the need for in-person visits and complex paperwork. Digital-first platforms such as LXME, Groww, Upstox and 5paisa made investing as simple as ordering food online.

Mutual funds emerged as one of the most accessible and confidence-building entry points for women investors. Unlike direct equity investing, which often requires larger lump-sum commitments and active monitoring, mutual funds allow disciplined investing in small, regular amounts through systematic investment plans (SIPs). "Today, you can start investing with just Rs 100, which is not possible in stocks," says Rathi. The built-in diversification and risk-mitigation features add another layer of comfort.

Data underscores the scale of this shift. According to CRISIL's Savings to Wealth Creation report, women accounted for 24.2 per cent of mutual fund investors as of December 2024—roughly one in four. Their assets under management (AUM) more than doubled from Rs 4.59 lakh crore in March 2019 to Rs 11.25 lakh crore in March 2024. Overall, women now contribute Rs 33 of every Rs 100 invested by individual investors in mutual funds. The rise in SIP participation is particularly striking. Women investors' SIP AUM surged 319.3 per cent between March 2019 and March 2024, accounting for over 30.5 per cent of total SIP assets by March 2024.

PhonePe's analysis, too, shows that nearly 90 per cent of women begin their investment journey through SIPs, reflecting a disciplined, goal-oriented approach to wealth creation. Their average SIP contribution is Rs 1,300, around 22 per cent higher than that of men, and their lump-sum investments, too, are approximately 45 per cent higher, according to Nilesh Naik, head of investment products, Share.Market, PhonePe Wealth's investing platform. "This shows women are making thoughtful, long-term investment choices rather than being conservative participants," he says. Nearly 50 per cent of women investors hold contra/value funds. Other popular categories include flexi-cap, mid-cap, small-cap and thematic funds. However, as Maheshwari notes, a majority of women are mindful investors: "Ninety per cent are not big risk-takers and prioritise their financial goals (child's higher education, an international trip, buying a house, etc.) rather than windfall profit."



"A silent revolution is unfolding. The Indian woman has a plan for her money, she now seeks knowledge and direction"

RENU MAHESHWARI
Chairperson, Association of Registered Investment Advisers in India (ARIA)



"Mutual funds have made investing accessible. Today, you can start investing with as little as Rs 100, which is not possible in stocks"

PRITI RATHI GUPTA
Founder, LXME, a women's-only investment app

The Promise and the Caveat

While there is much to celebrate, there is enough reason for caution as well. The Zerodha survey revealed that while 50 per cent of the women used their accounts on their own, an equal proportion had their accounts managed by husbands, brothers, or children. "We often see men investing in the name of their wives and daughters to diversify their portfolio or for tax benefits," Rathi says. "So, we can't say the rise in the percentage of women who have accounts in their names is directly proportional to women who are investing themselves. We are still a very long way away from a real 30 per cent of women investing and taking charge of their investment decisions." Maheshwari also worries for women who sit at home and trade in derivatives themselves without the requisite understanding.

Yet the uptick in the number of women investors is too encouraging to dismiss. "We now need to go deeper into the non-metros to create awareness, so that women make informed decisions and feel confident to handle their accounts themselves," says Lakshmi Iyer, group president, investments, Bajaj FinServ. Maheshwari shares her optimism. "The Indian woman has a plan for her money; she now seeks knowledge and direction. I see the next generation of women investors catching on much earlier in life. The next generation of evolution will happen before we even realise." Amen to that. ■